



File No.: EXP202205208

RESOLUTION OF SANCTIONING PROCEDURE

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RESOLUTION OF SANCTIONING PROCEDURE	

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: Complaint filed

A.A.A. (hereinafter, the complainant) on April 15, 2022, filed a complaint with the Spanish Agency for Data Protection. The complaint is directed against XFERA MÓVILES, S.A. with NIF A82528548 (hereinafter, XFERA).

The complainant alleges receiving commercial calls on their mobile line ***PHONE.1 promoting YOIGO services. They justify the registration in the advertising exclusion list of the receiving line through a copy of the Account Verification email received on December 15, 2021, and a screenshot confirming the registration of the receiving line.

They provide several screenshots of the incoming call log evidencing the receipt of the following calls:
□ From the calling line ***PHONE.2, calls were received on 12/04/2022 at 13:53 hours, 13/04/2022 at 17:32 hours, and 14/04/2022 at 17:21 hours.

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- From the calling line ***PHONE.3, a call was received on 11/04/2022 at 17:51 hours.

- From the calling line ***PHONE.4, calls were received on 18/03/2022 at 18:14 hours and on 19/03/2022 at 17:12 hours and 17:34 hours.

SECOND: Transfer of the complaint to the complained party

In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), on 06/05/2022, the complaint was transferred to XFERA for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was recorded on 13/05/2023 as evidenced by the acknowledgment of receipt in the file.

On 14/06/2022, this Agency received a written response indicating, essentially, that XFERA is a member of ADigital and conducts checks in all its commercial campaigns against the Robinson List. Such filtering with the Robinson List is also required of all its distributors in Telemarketing mode who may use their own databases unrelated to XFERA.

XFERA claims to have a tool through which they can obtain information from their systems that would allow them to check if they have commercially impacted a specific number. The result obtained, XFERA states, regarding the indicated number is that there are no results for calls. This would mean that this number has not been included in any authorized commercial telephone action by said operator.

THIRD: Resolution of file

On 22/07/2022, this Agency issued a resolution to archive the proceedings. This was due to the fact that "Once the reasons presented by the complained party, which are in the file, were analyzed, it has been confirmed that there are no reasonable indications of the existence of an infringement within the jurisdiction of the Spanish Agency for the Protection of Data, and therefore, the opening of a sanctioning procedure does not proceed."

FOURTH: Reinstatement appeal

The complaining party, on 03/08/2022, filed a reinstatement appeal against the aforementioned resolution of archiving. After processing the appropriate procedure, in which the complained party was granted the opportunity to make allegations, this Agency issued a resolution in which the appeal was upheld, ordering that the processing of the complaint continue. Thus, it was understood to be admitted for processing.

FIFTH: Preliminary investigation actions

The General Sub-Directorate of Data Inspection proceeded to carry out preliminary investigation

actions to clarify the facts at C/ Jorge Juan, 6

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issue, by virtue of the functions assigned to the control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

From the Data Inspection, the responsible operator for the three telephone numbers from which the calls were allegedly made was consulted:

- Phone number ***PHONE.4 Current operator XFERA MÓVILES, S.A. UNIPERSONAL

- Phone number ***PHONE.3 Current operator XFERA MÓVILES, S.A. UNIPERSONAL

- Phone number ***PHONE.2 Current operator XFERA MÓVILES, S.A. UNIPERSONAL

Information was requested from XFERA to provide the holders of the aforementioned lines, providing the following information in its response:

1. Contact and identification details of the holder of the phone number ***PHONE.4 in March 2022:

B.B.B. ID ***NIF.2

2. Contact and identification details of the holder of the phone number ***PHONE.3 in April 2022:

C.C.C. ID ***NIF.2

3. Contact and identification details of the holder of the phone number ***PHONE.2 in April 2022:

D.D.D. ID ***NIF.3

XFERA was again requested to provide information regarding "whether there was any type of contractual relationship for making commercial telephone calls with the holders of the lines as well as the postal contact address," indicating that the entity stated that, in relation to the holders of the indicated numbers and the referred dates, there was no contractual link for making telephone calls in any of the three referenced cases.

Xfera Móviles only knows the postal contact address of C.C.C., whom it has identified as the holder of the telephone line ***PHONE.3

With this, the Inspection requested information from C.C.C. at the provided address, stating that the line ***PHONE.3 was in his name with the company ***COMPANY.1, and only during the months of April to June 2022. He also states that, reviewing the invoices for these months, he has verified that no calls were made to that number from the line ***PHONE.3, and moreover, during the time it was in his name, not a single call would have been made, which, he claims, would make it impossible for such a call to have been made. He provides the complete invoice for April 2022, which does not show any calls made from this number.

He also expressly denies having engaged in making commercial calls without the consent of the person to whom he may have called, expressing his surprise at this complaint.

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Regarding the confirmation of the commercial calls, the operator ***COMPANY.2 was requested to confirm the existence of calls made to the claimant's number (***PHONE.1) from the numbers and on the dates described by him. From the numbers ***PHONE.4, calls were received on 18/03/2022 at 18:14 (rejected), on 19/03/2022 at 17:12 (4 sec) and at 17:34, ***PHONE.3 on 11/04/2022 at 17:51, and ***PHONE.2 on 12/04/2022 at 13:53 (7 sec), on 13/04/2022 at 17:32 (6 sec), and on 14/04/2022 at 17:21, stating that the referred operator indicated that regarding the request for calls made from the phone number ***PHONE.4, since the requested calls are from a period exceeding one year, it is not possible to provide such data as the computer system has a limited storage time of twelve months according to Law 25/2007, on the Retention of Data by Electronic Communications Operators.

The Inspection requested the Tax Agency to provide the tax address of the other two holders of the telephone lines identified by XFERA:

- B.B.B., ID ***NIF.2
- D.D.D., ID ***NIF.3

The AEAT responded by providing the following information:

- Tax address of B.B.B. The search in the Tax Agency's system yielded no results for the indicated ID ***NIF.2
- Tax address of D.D.D. The Tax Agency has in its database a natural person corresponding to the indicated ID ***NIF.3. However, the name and surname of this natural person do not match those indicated.

SIXTH: Initiation of sanctioning procedure

On April 4, 2024, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the complained party, for the alleged infringement of Article 5.1.d) of the GDPR, classified in Article 83.5 of the GDPR.

SEVENTH: Allegations to the initiation agreement

Notified of the aforementioned initiation agreement in accordance with the provisions established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), the complained party submitted a written statement of allegations in which, in summary, states the following:

LEGAL-FORMAL ALLEGATIONS

Expiration of the appeal for reconsideration filed on August 3, 2022. The favorable resolution of the appeal for reconsideration submitted against the resolution that ordered the filing of the complaint was issued after the period of one month, thus resulting in a violation of Article 25.1 b) of the LPACAP in relation to Article 124.2

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of the same regulation. For this reason, the filing of the proceedings should have been ordered, with the effects provided for in Article 95 of the LPACAP.

Expiration of prior investigation proceedings. In a subsidiary manner, it is considered that the deadline established in Article 67.2 of the LOPDGDD regarding the duration of the prior investigation proceedings has not been respected, since the twelve-month period expired on July 15, 2023.

Nevertheless, no report on the prior investigation proceedings was issued until April 1, 2024.

Therefore, it is considered that the expiration of the file should have been declared and the filing of the proceedings ordered, as established in Article 25.1 b) of the LPACAP.

LEGAL-MATERIAL ALLEGATIONS. Under this heading, the responding party includes various allegations:

Data subject to conservation

Conduct attributed to XFERA. From the reading of the initiation agreement, it is evident that the alleged infringing conduct has nothing to do with the commercial calls received by the claimant, but rather with the fact of having provided "inaccurate data regarding the ownership of the requested telephone lines," from which a presumed infringement of Article 5.1 d) of the GDPR arises.

Discrepancy with the facts narrated in the Agreement. The telephone lines in which the discrepancy has been detected are prepaid and were marketed under the brand "Lebara." Since they are prepaid lines, XFERA does not need to know the identifying data of the owner/user of the card to provide the service, collecting only personal information for the purpose of complying with the Single Additional Provision of Law 25/2007, of October 18, on the conservation of data related to electronic communications.

Lebara is one of the prepaid brands under which the responding party provides telecommunications services. It does not offer "contract" services but only "card" services, that is, based on the purchase of prepaid cards and vouchers. Hence, many of its lines have a very high turnover. This clarification is

essential for the present procedure, as the acquisition of one of these prepaid cards is a legal transaction of sale, of a single act, in which a person goes to a point of sale, acquires a card, and uses it until the balance it contains is consumed. Once this balance is exhausted, they can choose to recharge it (maintaining the number) or to purchase a new card. For this reason, the identity of the user is irrelevant to Lebara.

Therefore, the only information that XFERA manages regarding customers who acquire Lebara prepaid cards is that provided for in the Single Additional Provision of Law 25/2007;

According to this Law, and the aforementioned Provision: "mobile telephone service operators who market services with an activation system through the modality of prepaid cards must keep a register book in which the identity of the customers who acquire a smart card with this modality is recorded."

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payment." "Identification will be carried out through a document proving identity, noting in the registration book the name, surname, and nationality of the buyer, as well as the corresponding number of the identification document used and the nature or designation of said document."

Supporting Documentation

It points out the inaccuracy of the AEPD on page 6 of the Agreement, when it states that "according to Articles 1, 2, and 3 of Law 25/2007, of October 18, on the retention of data related to electronic communications and public communications networks, operators of these networks and services are obliged to retain the data of the ownership of the telephone lines assigned to their users"; this statement is not true in relation to users of prepaid SIM cards, such as those involved in this procedure: XFERA only knows the identity of the person who acquired the card, and only because the Law 25/2007 requires it.

The regulation establishes that "identification will be carried out through a document proving identity"; but in no case does it allow or require the obtaining and retention of a copy of the buyer's identity document. In this regard, the AEPD has also expressed itself.

Marketing Model

It points out that telecommunications companies do not own the vast majority of the points of sale that market their products and services. In the case of Lebara, this brand does not even have its own stores. In the case at hand, the prepaid cards corresponding to lines ***PHONE.4 and ***PHONE.2 were marketed through the platform of the entity Fullcarga Ibérica S.L., (...).

Fullcarga freely markets the cards through its extensive distribution network, formed by numerous small companies. It submits to the code of conduct of XFERA, whose obligations extend to all establishments affiliated with its network.

The code of conduct specifically prohibits, among other actions, "sending the sales form through the tool provided for this purpose with incorrect, false, or incomplete sales data of the final customer" and "obtaining registrations irregularly, impersonating the identity of the customer and/or their personal data." In terms of data protection, Fullcarga is configured as a processor, among others, of the processing consisting of "the marketing of SIM cards (including the identification and inclusion of data in the Registration Book)" (annex 4 of the contract).

Consulted by my represented party, Fullcarga has confirmed that both sales were made by a merchant affiliated with its network and with whom XFERA does not maintain a direct relationship, named E.E.E., provided with DNI ***NIF.4 and residing at ***ADDRESS.1.

It considers that XFERA is not responsible for the facts attributed to it. XFERA does not own the points of sale that market the prepaid cards of the brand.

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“Lebara”. In practice, each point of sale is responsible for fulfilling the obligation to collect customer data, in order to comply with the obligation to maintain the register book provided for in the sole additional provision of Law 25/2007. Since it cannot require customers to provide a copy of their identification document when purchasing a prepaid card, and does not need to process their personal data for any other purpose, XFERA does not have the ability to verify the accuracy of the data collected by the points of sale, and (therefore) cannot be considered responsible for the inaccuracies committed by such businesses. It therefore considers that Article 28 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (hereinafter, “LRJSP”), has been violated, which establishes that “only individuals and legal entities (...) that are responsible for the same by way of intent or negligence may be sanctioned for acts constituting administrative infringement.”

It emphasizes that, from a contractual perspective, the agreement signed between XFERA and the commercial platform for the SIM cards (Fullcarga) subjected the latter, and its commercial network, to a code of conduct in which they were obliged to “take appropriate measures to prevent the activation of contracts” that contain “incorrect, false, or incomplete sales data of the final customer,” with high penalties in the event of non-compliance.

Furthermore, it understands that XFERA has implemented various procedures to combat fraud and has provided precise instructions to the points of sale on how to collect the data of interested parties, for inclusion in the register book required by Law 25/2007. To this end, it develops the controls implemented to detect fraudulent actions or registrations in which the established procedure has not been followed. It therefore understands that if any of these points of sale disregard these instructions, Article 28.10 of the GDPR provides that they shall be considered responsible for the processing.

Competence of the AEPD

It points out a possible violation of the principle of specialty due to lack of material competence of the AEPD. In this regard, since the data is retained solely in compliance with Law 25/2007, it considers that the specific sanctioning regime provided for in that regulation would apply in cases where the personal data incorporated by the operators into the register book is incorrect or incomplete.

This regulation provides, in paragraph 5 of its sole additional provision, in relation to the maintenance of the register book, a sanctioning regime that pursues the same objective as the principle of accuracy provided for in the GDPR: to ensure that the data contained in the register book is correct.

It understands that in this case there is an apparent concurrence between both regulations that must be resolved in favor of the specific regulation (in this case, Law 25/2007) over the general regulation (the GDPR), as the invoked principle requires that the special regulation be analyzed first, and if the requirements for its application are met, it will take precedence over the general one. Therefore, the competence to resolve the sanctioning procedures arising from the violation of the obligation to properly maintain the register book in question falls to the “Secretary of State.”

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Telecommunications and for the Information Society,” as provided in section 6 of the sole additional provision of Law 25/2007. It includes a resolution of the sanctioning file issued by the SETID. Based on the principle of specialty, this Spanish Agency for Data Protection is not competent to sanction XFERA for the existence of inaccuracies in the data retained concerning the purchasers of the SIM cards associated with the numbers ***PHONE.4 and ***PHONE.2, since the SETID is competent in application of the sole additional provision of Law 25/2007: a special material norm regarding the GDPR that necessarily displaces it.

Responsibility

On the other hand, it understands that Article 4 of the LOPDGDD has been violated since the exemption of the responsible party from ensuring the accuracy of the data provided directly by the affected party sought precisely to prevent the commission of an error by the interested party, at the

time of providing their personal data, from resulting in a sanction for the data controller, who merely reflects in their systems the information that was provided to them.

Motivation of the initiation agreement and proportionality of the proposed sanction

Furthermore, it considers that the initiation agreement lacks the necessary motivation regarding the determination of the facts, as the legal criteria on which the breach of obligations related to due diligence to ensure the accuracy of the data is not specified.

Regarding the criteria for graduation included in the Agreement, it considers that, since the data is false and does not correspond to any interested parties, the damage suffered by the affected parties cannot be taken into account as a criterion for the graduation of the fine. It also understands that there is no intent or negligence in the infringement, due to its impossibility to verify the veracity of the data transferred by the points of sale.

It also highlights the graduation criteria that have not been taken into consideration: in addition to the lack of effective damage to an interested party and the absence of intent or negligence due to its lack of responsibility regarding the conduct of the points of sale, its adherence to the Self-Regulation Code of Conduct for "Data Processing in Advertising Activities," approved by the AEPD, the absence of benefit derived from the allegedly infringing conduct, and the collaborative spirit demonstrated during the AEPD's investigative action. In light of these circumstances, it requests a reduction in the severity of the infringements and the sanction to be imposed.

In its written allegations, the party requests the following evidence to be presented:

1. Documentary evidence, consisting of the inclusion in the procedure of the documents provided with this writing;

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2. Further documentary evidence, consisting of this esteemed Agency sending a formal request to the Secretary of State for Telecommunications and Digital Infrastructures, located in Madrid, Cl. Poeta Joan Maragall 41, floor 7, with email address sancionadorteleco@economia.gob.es for the purpose of requesting a copy of the sanctioning file SAN00067/23, within the framework of which the resolution provided as document no. 2 of this written allegation was issued;

3. Written testimonial evidence, consisting of this esteemed Agency sending a formal request to Fullcarga Ibérica, S.L., (...) for its legal representative to answer the following questions:

- a. Were two prepaid cards of the "Lebara" brand, corresponding to mobile lines ***PHONE.4 and ***PHONE.2, marketed through its IT platform on February 23, 2022, and March 3, 2022, respectively?
- b. If so, can they confirm which specific establishment, among those affiliated with their network, marketed the aforementioned prepaid cards?
- c. Does Fullcarga provide any type of instructions to the establishments affiliated with their network on how to fill in the data of the purchasers of prepaid mobile phone cards, in order to comply with the identification obligations set forth in Law 25/2007, of October 18?

EIGHTH: Proposal for resolution

On January 23, 2025, a proposal for resolution was made, proposing:

"FIRST

That the Presidency of the Spanish Agency for Data Protection sanctions XFERA MÓVILES, S.A. with NIF A82528548, for an infringement of Article 5.1 d) of the GDPR, classified under Article 83.5 of the GDPR, with a fine of ONE HUNDRED THOUSAND EUROS (100,000€).

SECOND

That the Presidency of the Spanish Agency for Data Protection orders XFERA MÓVILES, S.A. with NIF A82528548, that pursuant to Article 58.2.d) of the GDPR, within a period of 6 months, implement the necessary procedures and mechanisms to verify the accuracy of the data that the operator itself collects at the time of processing registrations and portability."

NINTH: Allegations to the proposal for resolution

The aforementioned proposal for resolution was notified in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), and the extension of the deadline for making allegations was granted at the request of the interested party. Allegations have been received that, while reiterating arguments already previously presented, provide other new ones, essentially the following:

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- Processing of the appeal for reconsideration: the claim was initially archived and would only have been admitted after the resolution of the appeal for reconsideration filed by the claiming party. This would significantly exceed the 3-month deadline for admission to processing established in Article 65 of the LOPDGDD.
- Factual situation leading to the sanctioning file. The initial claim referred solely to the receipt of commercial communications, whereas now the AEPD disregards the reason for the claim and sanctions for an inadequacy of the data retained by XFERA.
- Existence of a report from the Ministry of the Interior which, it is claimed, shifts the responsibility for identifying holders of prepaid lines to the owner of the establishment or point of sale. For these purposes, the report would indicate that said establishment is obliged to complete the data; the telecommunications operator would not be able to verify its accuracy and would conclude that "The operator's attitude is satisfactory." This is within the framework of a sanctioning procedure processed by the Secretary of State for Telecommunications and Digital Infrastructures (hereinafter SETID) regarding the non-compliance with Law 25/2007, of October 18.
- Regarding XFERA's responsibility, Article 4 of the LOPDGDD excludes the responsibility of the data controller in cases where inaccurate data is provided directly by the data subject.
- In the section on the proportionality of the sanction, they consider that the severity of the infringement cannot be regarded as an aggravating factor. The AEPD indicates that the severity arises from the fact that the non-compliance would have prevented determining the authorship of the investigated calls, when XFERA's obligations do not encompass the content of the calls.
- They also disagree with the consideration of Intentionality or negligence as an aggravating factor. Since throughout their allegations they attempt to demonstrate the absence of negligence, this would be consistent with their argumentation.
- They consider that the aggravating factor of linkage with the usual processing of personal data should refer to the specific case of Law 25/2007, and not to a generic linkage with the development of its ordinary activity.
- Finally, they propose taking into account mitigating factors such as the blocking of the line when they became aware of the fraud, and the absence of processing of special categories;

TENTH: Business Volume

According to the report obtained from the AXESOR tool, the entity XFERA MÓVILES, S.A. is a large company, with a business volume of 2,098,178,000 euros in the year 2023.

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In view of all that has been acted upon, the following facts are considered proven by the Spanish Agency for Data Protection in the present procedure,

PROVEN FACTS

FIRST.

A.A.A. filed a complaint on April 15, 2023, with the Spanish Agency for Data Protection against XFERA MÓVILES, S.A. with NIF A82528548 for receiving commercial calls advertising the services of YOIGO

despite having been included in the Robinson List for advertising exclusion.

Accompanying their complaint, they provide several screenshots identifying the phone lines

***PHONE.2 ***PHONE.3 ***PHONE.4 as those from which the commercial calls were made for which they are claiming, as well as data on the dates and times when these calls were made.

SECOND.

XFERA is the operator that provided the service, at the time the calls were made, to the telephone lines from which the calls subject to the complaint were made.

THIRD.

It is recorded in the file, provided by the responding party, a contract for the provision of services for processing and managing balance recharge requests, dated September 1, 2021, and signed between XFERA MÓVILES, S.A.U., (...) and LYCAMOBILE (jointly referred to as XFERA), and FULLCARGA IBERICA, S.L., (...) (the provider).

According to the same, FULLCARGA assumes the role of data processor in the execution of the services entrusted in the aforementioned contract.

FOURTH.

At the request of the AEPD Inspection, XFERA provides the following information about the holders of the indicated telephone lines:

- Contact and identification data of the holder of the phone number ***PHONE.4 in March 2022: B.B.B. DNI ***NIF.2

- Contact and identification data of the holder of the phone number ***PHONE.3 in April 2022: C.C.C. DNI ***NIF.2

- Contact and identification data of the holder of the phone number ***PHONE.2 in April 2022: D.D.D. DNI ***NIF.3

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FIFTH.

The operator ***COMPANY.2 confirms that the claimant's number received the following calls from the numbers indicated in the complaint:

- From ***PHONE.4 received calls on 18/03/2022 at 18:14 (rejected), on 19/03/2022 at 17:12 (4 sec) and at 17:34, ***PHONE.3 on 11/04/2022 at 17:51

- From ***PHONE.2 on 12/04/2022 at 13:53 (7 sec), on 13/04/2022 at 17:32 (6 sec), and on 14/04/2022 at 17:21.

SIXTH.

There was no contractual relationship for making commercial content calls on the dates identified in the complaint between XFERA and the holders of the telephone lines from which the calls subject to the complaint were made.

SEVENTH.

According to the information provided by the Tax Agency, the search by the ID number provided by XFERA as corresponding to B.B.B. yields no results. Furthermore, the ID number that XFERA indicates as corresponding to D.D.D. belongs to another person.

EIGHTH.

The prepaid cards corresponding to the lines ***PHONE.4 and ***PHONE.2 were marketed through the platform of the entity Fullcarga Ibérica S.L., (...) under the contract signed between both parties dated September 1, 2021.

LEGAL GROUNDS

I.

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU)

2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter, LOPDGDD), the Presidency of the Spanish Data Protection Agency is competent to resolve this procedure.

II.

Procedure

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Furthermore, Article 63.2 of the LOPDGDD states that: “The procedures processed by the Spanish Data Protection Agency shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, insofar as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

In accordance with Article 64 of the LOPDGDD, and taking into account the characteristics of the alleged infringements committed, a sanctioning procedure is initiated.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. After this period, it will expire, and consequently, the file of actions will be archived, in accordance with the provisions of Article 64 of the LOPDGDD.

III.

Preliminary Issues

According to Article 4.1 of the GDPR, personal data is understood to be any information relating to an identified or identifiable natural person (“the data subject”); an identifiable natural person is considered to be any person whose identity can be determined, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or one or more specific elements of the physical, physiological, genetic, mental, economic, cultural, or social identity of that person;

Furthermore, paragraph 2 of this provision states the following regarding the concept of processing of personal data: any operation or set of operations performed on personal data or sets of personal data, whether by automated means or not, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, communication by transmission, dissemination, or any other form of making available, alignment, combination, restriction, erasure, or destruction;

In the present case, according to the provisions of the aforementioned articles and as reflected in the background and proven facts, there is processing of personal data, in this case of the telephone lines from which the calls received by the claimant were made, and that such processing is carried out by XFERA in its capacity as the operator of the telephone numbers from which the calls subject to the complaint were made, and in its capacity as the data controller, since it is the one who determines the purposes and means of such activity, by virtue of Article 4.7 of the GDPR: “Data controller” or “controller”: the natural or legal person, public authority, agency, or other body that, alone or jointly with others, determines the purposes and means of the processing; if the law of the Union or of the Member States provides otherwise.

According to the data obtained in AXESOR, XFERA MÓVILES, S.A. is a large company, with a turnover of 2,098,178,000 euros in the year 2023.

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IV.

Claims of the Respondent

In response to the claims presented by the respondent entity, both to the initiation agreement and to the proposed resolution, the following should be noted:

.1

Expiration of Proceedings

Regarding the alleged expiration of the appeal for reconsideration filed on August 3, 2022, the respondent considers that the resolution of the appeal filed by the claimant, once the period provided for in Article 25.1 b) of the LPACAP has elapsed, entails its expiration and, therefore, the proceedings should have been archived.

In this regard, it should be noted that, contrary to what the claimant has indicated, we are not faced with a case as provided for in Article 25 of the LPACAP - Lack of express resolution in ex officio initiated procedures - but rather in Article 24, whose section 1, third paragraph, states the following: "The sense of silence shall also be dismissive in the procedures for challenging acts and provisions and in those of ex officio review initiated at the request of the interested parties. However, when the appeal has been filed against the dismissal by administrative silence of a request due to the expiration of the period, it shall be understood as accepted if, upon the expiration of the resolution period, the competent administrative body does not issue and notify an express resolution, provided that it does not refer to the matters listed in the previous paragraph of this section." (the underlining is ours) It should also be recalled that the Administration is obliged to issue an express resolution in accordance with the provisions of Article 21.1 of the same regulation and, in this sense, section 3. b) of the aforementioned Article 24 states the following:

"3. The obligation to issue an express resolution referred to in the first section of Article 21 shall be subject to the following regime (...):

b) In cases of dismissal by administrative silence, the express resolution after the expiration of the period shall be adopted by the Administration without any binding effect on the sense of silence." (the underlining is ours)

Based on the above, it can be concluded that the processing carried out by this AEPD is in accordance with the provisions of the LPACAP and that, therefore, we would not be facing a case of expiration of the proceedings as indicated by the respondent.

Regarding the claim of the respondent concerning the expiration of the previous investigative proceedings, it should be recalled that the present sanctioning procedure originates from the acceptance of the appeal for reconsideration filed by the claimant, through the resolution of 04/10/2023, as stated in the file. Considering that the acceptance of said appeal resulted in the carrying out of preliminary investigative proceedings and subsequently the initiation of the present sanctioning procedure against the archiving of the proceedings.

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Initially decreed, it must be considered that this date is the one to be taken as a reference for the start of the computation of the twelve months established in Article 67.2 of the LOPDGDD - in the wording of this provision prior to 10/05/2023, applicable to the case at hand.

For these purposes, it is important to note that the claimant in the appeal for reconsideration provided a list of calls, which constituted new documentation that was evaluated by the AEPD, and for this reason, the expiration period of the prior proceedings begins when the favorable resolution of the appeal is issued. The documentation was not included in the original complaint. The resolution of the appeal for reconsideration is dated 10/04/2023.

In addition to this argument, it should also be recalled that this provision is incorporated into Title VIII of the LOPDGDD, procedures in cases of possible violations of data protection regulations, and, in this sense, as we have stated, against the initial filing agreed upon, the procedure for a possible violation of personal data protection regulations was only initiated after the acceptance of the appeal for reconsideration filed by the claimant.

Taking the above into account, and that the agreement to initiate sanctioning proceedings, as recorded

in the file, was signed on 04/04/2024, it must be understood that the period provided for in Article 67.2 of the LOPDGDD was duly respected.

Regarding the allegation concerning the passage of a period exceeding three months from the receipt of the complaint to its admission for processing, it is necessary to recall that the exceeding of the period was caused by the facts pointed out by the defendant party itself. Initially, the complaint was filed, and it was only admitted for processing after the resolution of the appeal for reconsideration filed by the claimant. Thus, this admission for processing was not a consequence of the ordinary processing of the complaint, but rather as a result of the review activity carried out in the processing and resolution of the appeal for reconsideration. In any case, the admission for processing does not prejudice, let alone imply, the consideration of a breach that would lead to the initiation of sanctioning proceedings, but rather this was only initiated after the prior investigative actions provided for in Article 67 of the LOPDGDD and detailed in the background of this resolution.

.2

Factual situation of the procedure

Within the allegations classified as legal-material, the defendant party indicates that the AEPD would have modified the factual situation subject to the procedure. While the complaint was presented regarding the receipt of unsolicited or unconsented commercial calls, the object of the sanctioning procedure would be a presumed lack of accuracy of the data subject to retention by XFERA under the obligations of Law 25/2007, of October 18.

In relation to this allegation, the procedure followed has been the following:

- Indeed, the complaint is aimed at reporting the receipt of commercial calls by the claimant.

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- As established in the proven facts, XFERA is the telecommunications operator to which the lines from which the commercial calls subject to the complaint were made belong.

- During the investigation, the Inspection of this AEPD requested XFERA to identify the holders of the telephone lines. This was in order to determine possible responsibilities in the reported calls.

- XFERA provided this Agency with the identity data that was recorded in its systems.

- As indicated in the proven facts of this resolution, after a consultation with the AEAT, it was concluded that the data was clearly inaccurate. In relation to one of the telephone lines, the ID number provided by XFERA as corresponding to the individual holder of one of the lines "does not yield results." Likewise, the ID number that XFERA indicates as corresponding to another of them belongs to another person.

There were therefore clear indications that XFERA had violated the principle of accuracy of personal data (art 5.1.d RGPD) since personal data that did not correspond to its ownership had been attributed to the telephone line in question. This alleged infringement would fall under the sanctioning competence of this AEPD, as it constitutes a breach of the RGPD.

In this regard, the Judgment of the Supreme Court of 11/11/2024 indicates the following:

"With those clarifications regarding the manner in which the admission order of the appeal formulates the issue of casational interest, the question to be clarified consists in reality of whether, in the initiation, processing, and resolution of a sanctioning procedure, the Spanish Agency for Data Protection is bound, and in what manner and degree, by the content of the complaint presented before it.

And, formulated the question in those terms, to answer it we must declare the following:

The Spanish Agency for Data Protection, in the initiation, processing, and resolution of a sanctioning procedure, can address factual and legal issues connected or related to the facts and arguments included in the complaint that gives rise to the procedure. And, more specifically, in the course of a sanctioning procedure initiated as a result of one or several complaints regarding personal data protection, when it is appreciated that the specific infringements reported have their common origin in

a document or instrument of general scope that defines the entity's policy on data protection, the AEPD can, and must, make that same document that houses the privacy policy of the responsible entity the subject of the sanctioning procedure, in order to examine it, detect its possible...

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shortcomings or deficiencies, and adopt, consequently, the measures that are necessary within the framework of the sanctioning procedure; with the understanding that all of this must be communicated to the subject of the file, so that during the processing of the procedure, they have the opportunity to make allegations and, if applicable, propose evidence, without in any case leading to a situation of defenselessness."

As is logical, the Supreme Court recognizes the possibility of sanctioning infringements that arise from the issues subject to the procedure, without this Agency being constrained by the specific narration of the facts detailed by the complaining party. The opposite would imply a dereliction of duty in the face of evidence that demonstrates the possible commission of an infringement.

.1

Competence of the AEPD

Furthermore, the material allegations by the responding party essentially concern the qualification of the allegedly unlawful conduct, the absence of competence of the AEPD, and the responsibility of the responding party in its commission in light of the events that occurred.

In relation to the possible lack of competence of this Agency, the responding party notes that the sanctioning competence for the failure to maintain the book – register of prepaid lines, in accordance with Law 25/2007, of October 18, would correspond to the SETID. In this regard, it should be noted that, according to Article 8 - Protection and security of data - of said Law:

"2. The obligations relating to measures to ensure the quality of data and the confidentiality and security in their processing shall be those established in Organic Law 15/1999, of December 13, and its implementing regulations. (...)

4. The Spanish Agency for Data Protection is the public authority responsible for ensuring compliance with the provisions of Organic Law 15/1999, of December 13, and the implementing regulations applicable to the data covered by this Law."

In this sense, it must be taken into account that the quality of the data is directly related to whether it is accurate, in the sense that it reflects a real situation. In other words, it cannot be said of inaccurate data that it meets the quality requirement.

Furthermore, it is clear from the transcribed provision that such quality in the information must be guaranteed in accordance with the provisions of personal data protection regulations. This regulation must be understood as referring to the GDPR and the LOPDGDD. Consequently, based on the aforementioned, it can be concluded that this obligation - to guarantee the quality of the data processed in compliance with Law 25/2007 - corresponds with the principle of accuracy of data provided for in Article 5.1 d) of the GDPR - and that its compliance must be ensured in accordance with the provisions of the currently applicable personal data protection regulations: the GDPR and the LOPDGDD.

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That said, and since the AEPD is the competent authority to ensure compliance with regulations regarding the protection of personal data—as expressly stated in Article 8.4 of Law 25/2007, in addition to the GDPR and the LOPDGDD—it must reject the claim regarding material incompetence to resolve the alleged commission by the defendant party that is the subject of this sanctioning procedure. The obligation derives from Law 25/2007, but whether there is an obligation or not, the

personal data processed by a data controller must comply with the principle of accuracy of the GDPR. In its allegations regarding the proposed resolution, the defendant party emphasizes the possible existence of a "conflict of laws," so that, if it were considered that both the AEPD and the SETID had sanctioning competence for the same infringement, the conflict should be resolved in favor of the latter, based on the principle of specialty.

In this regard, it is not necessary to resort to the conflict of laws to resolve the issue. The reason for sanctioning that each of these bodies would have must be analyzed.

Law 25/2007, of October 18, grants powers to the SETID to sanction infringements such as (single additional provision, section 5): "The failure to maintain the referred register book; the repeated or systematically incomplete maintenance of said register book; the deliberate failure to transfer and deliver data to individuals and in the cases provided for in this provision; the incomplete maintenance of the register book or the failure to transfer and deliver data to individuals and in the cases provided for in this provision."

This Law aims to ensure that telecommunications operators retain data related to customers and subscribers of the operators, in case it is necessary for them to make it available to the security forces and bodies. The legal good protected is public safety, and it is entrusted to the SETID to safeguard it through its sanctioning competence. To this end, it applies the regime of infringements and sanctions provided for in Law 25/2007 itself.

On the contrary, in this file, the AEPD is supervising compliance with the basic principles of the fundamental right to data protection, which belongs to the data subjects. And the truth is that, as motivated in this resolution, the principle of accuracy has not been guaranteed by linking names, addresses, phone numbers, and identification documents that were inaccurate. This resolution sanctions the failure to comply with a basic principle of personal data protection, established in Article 5.1.d) of the GDPR, and does not apply the sanctioning regime of Law 25/2007, but rather that of the GDPR itself, complemented by the provisions of the LOPDGDD.

A different issue is that to determine the substantive regime applicable to the sector of the retention of personal data in electronic communications, a sectoral norm is referred to, in this case, Law 25/2007, just as this Agency does in other multiple sectors to determine whether there is any violation of data protection regulations therein.

Furthermore, it is not recorded nor has it been alleged by the interested party that the SETID has opened any sanctioning file for these same facts, so that it could be...

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to litigate a possible "bis in idem" (in which, as we have stated, it would be estimated that each Administration acts in protection of a different legal interest)

3.

Model for the commercialization of prepaid cards. Data Processing Responsible

The defendant points out its absence of responsibility regarding the alleged breach in light of the conditions under which the sale of telephone cards occurs at the authorized points of sale. It understands that it is the impossibility of exercising control over the practices carried out by these points of sale and, above all, the impossibility of preventing cases of fraud in the identification of purchasers—and, therefore, in the data collected to comply with Law 25/2007 and fulfill the purposes provided therein—that implies that XFERA cannot be held responsible for the conduct subject to this procedure.

Certainly, the principle of responsibility provided in Article 28 of the LRJSP states: "Only individuals and legal entities may be sanctioned for acts constituting administrative infractions, as well as, when a Law recognizes them the capacity to act, the groups of affected parties, unions, and entities without legal personality and independent or autonomous estates, that are found responsible for them by way of intent or fault." However, the manner of attributing responsibility to legal entities does not correspond with the forms of culpability that are attributable to human conduct. Thus, in the case of

infractions committed by legal entities, although the element of culpability must be present, it is necessarily applied differently than it is with individuals. According to STC 246/1991, of December 19, Rec 1274/1988, "(...) this different construction of the attribution of authorship of the infraction to the legal entity arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the norms to which they are subject.

The capacity for infringement and, therefore, direct reproachability that derives from the legal interest protected by the norm that is infringed and the necessity for such protection to be truly effective and the risk that, consequently, must be assumed by the legal entity that is subject to compliance with that norm" (in this sense, STS of November 24, 2011, Rec 258/2009).

To the above, it should be added, following the ruling of January 23, 1998, partially transcribed in the SSTS of October 9, 2009, Rec 5285/2005, and October 23, 2010, Rec 1067/2006, that "although the culpability of the conduct must also be subject to proof, it must be considered in relation to the assumption of the corresponding burden, that ordinarily the volitional and cognitive elements necessary to appreciate it form part of the proven typical conduct, and that their exclusion requires evidence of the absence of such elements, or in its normative aspect, that the diligence that was required by the one alleging its non-existence has been employed; it is not enough, in short, for exculpation against a typically unlawful behavior to invoke the absence of fault."

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Finally, it should be noted that the SAN of June 22, 2021, Rec. 1210/2018, when assessing the subjective or culpability element, states that the culpability of the plaintiff cannot be considered excluded or mitigated by the fact that there may have been fraudulent actions by a third party, since the responsibility of the plaintiff does not derive from the actions of the latter, but from their own actions.

The figure of the data processor

The figure of the data processor responds to the need to address phenomena such as the outsourcing of services by companies and other entities, so that in those cases where the data controller entrusts a third party with the provision of a service that requires the processor to process personal data on their own behalf, the processing or operations of the processing are carried out by the processor, in the name and on behalf of the controller, as if it were the latter who is carrying it out.

Therefore, the existence of a data processor depends on a decision made by the data controller, who may decide to carry out certain processing operations themselves or to contract all or part of the processing with a processor.

That is to say, the processor, in order to be one, does not hold any own interest regarding the result of the processing subject to the assignment, without prejudice to the economic compensation they receive for the service rendered, which is what occurs in the present case. Processors have no own interest; they act on behalf of and in the name of the controller, following their orders and for their purposes, and this is what determines that they are processors from the outset.

This determines that the data controller is responsible for actions contrary to the GDPR carried out by their data processors, unless the latter have acted as true data controllers, deciding on the purposes and means of the processing, a situation that has not occurred in the present case.

Thus, the CJEU ruling of December 5, 2023, issued in case C-683/21, regarding the question of whether an administrative fine can be imposed under Article 83 of the GDPR on a data controller in relation to the processing operations carried out by a processor, determines that,

"83 As for the second question regarding whether an administrative fine can be imposed under Article 83 of the GDPR on a data controller in relation to the processing operations carried out by a processor, it is necessary to recall that, according to the definition in Article 4, point 8, of the GDPR, a processor is understood to be 'the natural or legal person, public authority, service, or other body that processes personal data on behalf of the data controller.'

84 Given that, as indicated in paragraph 36 of this judgment, a data controller is responsible not only for all personal data processing that they carry out themselves but also for the...

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treatments carried out on their own, an administrative fine may be imposed on that controller in accordance with Article 83 of the GDPR in a situation where personal data is subject to unlawful processing and where it is not the controller, but a processor they have engaged, who has carried out the processing on their behalf.

85 However, the liability of the data controller for the behavior of a processor cannot extend to situations where the processor has processed personal data for purposes that are their own or where they have processed such data in a manner incompatible with the framework or modalities of processing as determined by the data controller or in a manner that cannot reasonably be considered to have been consented to by that controller. Indeed, in accordance with Article 28, paragraph 10, of the GDPR, the processor must, in that case, be considered responsible for the processing with respect to that processing.” (the emphasis is ours)

In addition to the above, we must add the Judgment of the National Court of February 8, 2024, rec. 0002250/2021, regarding ***COMPANY.4, in which it is determined that, “Well, the appealing company is the data controller, as it determines the purpose and means of the processing carried out for the purposes indicated in its Privacy Policy: ‘At ***COMPANY.5 we process customer or user data for the provision of the service, as well as for other purposes that the same allows or authorizes in the terms informed in this Privacy Policy or in the specific Conditions of each Product or Service contracted with ***COMPANY.5.’

Meanwhile, the companies ***COMPANY.6, ***COMPANY.7, and ***COMPANY.8 are considered processors of the data.

What has been stated derives from the contracts signed by the acting party with the aforementioned companies.

....

Well, it has not been proven that the aforementioned companies, as processors of the acting party, have determined the purposes and means of the processing, nor have they used the data of that party's customers for their own purposes, nor have they interacted with the data subjects outside the structure and trade name of the appealing company, but rather they have acted under the name of the acting party to fulfill its purposes, using its systems to carry out operations with the customers.

Therefore, it is not possible to invoke Article 28.10 of the GDPR for a presumed attribution of liability to the processors that would also imply the exoneration of the data controller, that is, of the company here appealing. On the other hand, according to the aforementioned contracts, there is included a

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clause that impacts them the possible sanctions that the plaintiff company may suffer for non-compliance with obligations regarding data protection.” (the underlining is ours)

On the other hand, the Guidelines 7/2020 of the EDPB on the concepts of "data controller" and "data processor" in the GDPR, version 2.0 Adopted on July 7, 2021, determine that,

“30 Following the line of the fact-based approach, the word ‘determine’ means that the entity that truly exercises decisive influence over the purposes and means of processing is the controller. Generally, the processing contract establishes who is the determining party (the data controller) and who is the party that follows instructions (the data processor). Even when the data processor offers a service that is predefined in a specific manner, it must present the data controller with a detailed description of the service, and the data controller must make the final decision regarding the approval of how the

processing will be carried out and request any changes it deems necessary. Furthermore, the data processor cannot modify, at a later time, the essential elements of the processing without the approval of the controller.

...

39. The question is where to draw the line between decisions reserved for the data controller and those that can be left to the discretion of the processor. It is evident that decisions regarding the purpose of the processing must always correspond to the controller.

40. As for the determination of the means, a distinction must be made between essential and non-essential means. Essential means are traditionally and inherently reserved for the data controller. These must be mandatorily determined by the data controller, although the determination of non-essential means may also be left to them. Essential means are closely linked to the purpose and scope of the processing, such as the type of personal data processed ("What data will be processed?"), the duration of the processing ("How long will the data be processed?"), the categories of recipients ("Who will have access to the data?"), and the categories of data subjects ("To whom do the processed personal data belong?"). In addition to being related to the purpose of the processing, essential means are closely tied to the question of whether the processing is lawful, necessary, and proportionate. Non-essential means are related to more practical aspects of the processing itself, such as the choice of a particular type of hardware or software or the decision regarding the specifics of security measures, which may be left to the data processor.

41. Although decisions regarding non-essential means may be left to the data processor, the controller must still stipulate certain elements in the contract with the processor: for example, concerning the security requirement, it may be ordered to adopt all measures

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required under Article 32 of the GDPR. The contract must also establish that the processor will assist the controller in ensuring compliance with, for example, the provisions of Article 32. In any case, the controller remains responsible for implementing appropriate technical and organizational measures to ensure and be able to demonstrate that the processing is in accordance with the Regulation (Article 24). To this end, the controller must take into account the nature, scope, context, and purposes of the processing, as well as the risks to the rights and freedoms of natural persons. For this reason, the controller must have complete information about the means used, as this will allow them to make an informed decision in this regard. In order for the controller to demonstrate the legality of the processing, it is advisable to document, in the contract or another legally binding instrument between the controller and the processor, at least the necessary technical and organizational measures.

...

74. The GDPR establishes specific obligations that directly bind processors, as specified in section 1 of subsection II of these guidelines. A processor can be held liable or sanctioned when it fails to comply with such obligations or acts outside or against the legal instructions of the controller.

...

80. Secondly, the processing must be carried out on behalf of a controller, but not under its direct authority or control. Acting "on behalf of" someone means serving the interests of another and refers to the legal concept of "delegation." In the case of data protection regulation, the role of the processor is to apply the instructions given by the controller, at least concerning the purposes of the processing and the essential elements of the means. The legitimacy of the processing under Article 6 and, where applicable, Article 9 of the Regulation derives from the activity of the controller, and the processor must only process the data following the instructions given by the controller. Nevertheless, as previously indicated, the instructions of the controller may leave some margin of discretion regarding how best to serve its interests, allowing the processor to choose the most appropriate technical and organizational means.

81. Acting "on behalf of" someone also means that the processor cannot carry out the processing for

its own purposes. As stipulated in Article 28, paragraph 10, the processor will violate the GDPR when it does not adhere to the instructions of the controller and begins to determine its own purposes and means of processing. In such cases, the processor will be considered responsible in relation to that processing and may be sanctioned for failing to adhere to the instructions of the controller.” (the underlining is ours)

Based on the above, it is recorded in the file, submitted by the responding party, a service provision contract for processing and management of recharge requests.

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of balance, closed on September 1, 2021, and subscribed between XFERA MÓVILES, S.A.U., with CIF A-82528548 and LYCAMOBILE (jointly referred to as XFERA), and FULLCARGA IBERICA, S.L., with CIF B-31867534 (the supplier).

In said contract, it is specified that XFERA is an entity authorized to provide personal mobile communication services, currently operating under the brands YOIGO, MASMOVIL, LLAMAYA, LEBARA, HITS MOBILE, LYCAMOBILE, and other brands and their distinctive signs. (the underlining is ours).

The aforementioned contract of September 2021 aims to replace the previously signed contract (in October 2019) by both parties in order to establish the terms and conditions governing the provision by THE SUPPLIER of:

- a) The services of processing and managing the balance recharge requests submitted by prepaid service customers, and
- b) The marketing of SIM cards at the points of sale associated with THE SUPPLIER's distribution network.

The third clause of the aforementioned contract of September 2021 states the following: XFERA will supply THE SUPPLIER with SIM cards of the brands LLAMAYA, LEBARA, and LYCAMOBILE for marketing in its distribution network. THE SUPPLIER will acquire said SIM cards in ownership according to the economic conditions of acquisition and payment established by XFERA (...)

THE SUPPLIER undertakes to comply with and enforce in its distribution network the code of conduct and the marketing conditions of XFERA's commercial brands, as detailed in Annex 2, and to ensure that all distributors in said network sign in their respective contracts or commercial agreements the respect and adherence to said code of conduct and marketing conditions. (...)

SIXTH.- MARKETING OF RECHARGES BY THE SUPPLIER

THE SUPPLIER shall only have the right to market and sell the products directly to end consumers, through its own distribution channels.

It shall not be permitted to use the sales channels and points of sale of a third-party network without the prior written consent of XFERA, this being considered a very serious contractual breach.

Sales authorizations to sub-distributors will be granted by XFERA, in writing, and limited to the duration of the contract. Under no circumstances will they be automatically extended with the extension of the contract, but must be subject to explicit written renewal with each contractual renewal.

THE SUPPLIER must request authorization for the performance of recharges through new web stores to end customers, both directly and through customers of THE SUPPLIER, and such recharges may not be carried out without prior, express, and written authorization from XFERA.

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The breach of this provision by THE SUPPLIER will be considered a serious contractual breach with

sufficient grounds to invoke the effects established in the eleventh clause of this contract.

To ensure that the actual sale to retail businesses is carried out by THE SUPPLIER, and not by a sub-distributor or reseller, XFERA's commercial policy for all its recharge entities requires that the service at the point of sale be unequivocally provided by THE SUPPLIER by complying with each and every one of the following Requirements (...)

ELEVENTH.- PROTECTION OF PERSONAL DATA (...)

In order to provide XFERA with the Services, THE SUPPLIER must process personal data for which XFERA is responsible; THE SUPPLIER will act on behalf of and for the account of XFERA, assuming the position of data processor, all in compliance with Article 28 of the General Data Protection Regulation (EU) ("GDPR") and other applicable regulations, as well as in accordance with the provisions of the Data Processing Agreement attached to this Contract as Annex 4, as an inseparable part thereof.

SIXTEENTH.- SUPPLIER'S CODE OF ETHICS

In order to comply with national, European, and international standards, as well as international agreements and other trade practices, and to ensure adequate corporate responsibility and sustainable development, XFERA requires its suppliers to comply with a group policy of ethical standards and responsible conduct, as well as relevant sustainability requirements. (...)

THE SUPPLIER must regularly provide XFERA with information and data related to its compliance with the Code and the measures taken to ensure compliance. XFERA will also have the right to conduct audits in accordance with this section to verify compliance with the Code by THE SUPPLIER. THE SUPPLIER will promptly inform XFERA of any suspicion of non-compliance with the Code or any of its annexes.

THE SUPPLIER must reflect the content of the Code in its agreements with its subcontractors.

In the event that THE SUPPLIER detects a breach of the Code, it must, after written notification to XFERA, remedy such breach as soon as possible. If such substantial breach is not remedied within thirty (30) calendar days after such notification, it will be considered that THE SUPPLIER has breached the Contract, and XFERA will have the right to terminate it in accordance with the provisions thereof.

Upon reviewing the data processing agreement (Annex 4), it is stated as follows:

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- i. The object and nature of the processing assignment is defined in clause 1 of the Main Contract, which includes various services provided by the SUPPLIER.
- ii. The processing to be carried out by the Processor aims to provide the services of processing and managing the balance recharge requests made by the Clients of XFERA's prepaid mobile electronic communications service; the marketing of SIM cards (including the identification and inclusion of data in the Register Book); and the development, maintenance, and management of the Single Sales Portal for XFERA's distribution network.
- iii. The personal data processed under these terms will be identifying, contact, and payment data of XFERA clients who make recharges, as well as nationality data and identification document number provided at the time of acquiring the SIM card. The following processing activities will be carried out on this data: collection, registration, structuring, extraction, consultation, communication by transmission, and conservation. Clause 2.1 states the following:

The PROCESSOR shall carry out the processing of personal data derived from the provision of the contracted service, in accordance with the following obligations:

- Limit itself to performing the actions necessary to provide the CONTROLLER with the contracted service, in accordance with the provisions of the Main Contract for services.

Specifically, the PROCESSOR commits to processing personal data in accordance with the instructions given by the CONTROLLER at any given time, as well as in accordance with the applicable regulations regarding personal data protection, including with respect to the transfer of

personal data to a third country or to an international organization, unless required to do so under Union Law or the laws of the Member States applicable to the PROCESSOR, in which case the PROCESSOR shall inform the CONTROLLER of that legal requirement prior to processing, unless such Law prohibits it for important reasons of public interest.

In clause 3 - Obligations of the CONTROLLER - the following is indicated:

The following obligations correspond to the CONTROLLER:

(...)

- Ensure, prior to and throughout the processing, compliance with the GDPR by the PROCESSOR.

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From all of the above, it can be concluded that XFERA had—and should have exercised—the capacity to supervise the actions of FULLCARGA and, therefore, the points authorized by it. Additionally, it must be noted that FULLCARGA is the data processor regarding the personal data processed by this entity in accordance with the purposes and means previously identified by the data controller, XFERA. This implies, conversely and as determined by data protection regulations, the aforementioned rulings, and Guidelines 7/2020, that the data controller is responsible for the actions carried out by its data processor unless the latter determines the purposes and means, which has not been established in the proceedings conducted.

Therefore, in accordance with the above, XFERA MÓVILES is the data controller for the processing that takes place; it is the one who has decided to entrust a data processor to carry it out on its behalf and for its account, it is the entity that has the true capacity to exercise control over the processing of personal data, determining which personal data will be processed on its behalf and for its account, the why and how these should be processed, as it defines the purpose of the personal data processing that its activity encompasses and chooses the means it deems appropriate.

And in accordance with all of the above, for the specific case, XFERA MÓVILES is responsible for the infringement of the GDPR even if the contracting of a specific prepaid mobile line has materially occurred through its data processor.

This is directly related to the principle of proactive responsibility of the data controller provided for in Article 5.2 of the GDPR, which establishes that “the data controller shall be responsible for compliance with the provisions of paragraph 1 and able to demonstrate it (‘proactive responsibility’).” This means that the controller must ensure the effective application of the principles of processing both at the time of determining the means of processing and during the processing itself, whether it carries out the processing of personal data directly or entrusts a data processor to do so on its behalf (for the purposes of data protection regulations, it is the same), through the articulation of a series of technical and organizational measures of all kinds, which must be subject to periodic review and updating. This implies that the aforementioned controller is the one who assumes its own responsibility by directing, reviewing, and coordinating the processing, including that of the personnel and that of the data processor providing services to it.

The Opinion 3/2010 of the Article 29 Working Party (GT29) -WP 173- issued during the validity of the repealed Directive 95/46/EC, whose provisions are applicable today, states that the “essence” of proactive responsibility is the obligation of the data controller to apply measures that, under normal circumstances, ensure that the data protection rules are complied with in the context of processing operations and to have available documents that demonstrate to the data subjects and the Authorities.

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control what measures have been adopted to achieve compliance with data protection standards.

For these purposes, consideration is given to what is stated in Recital 74 of the GDPR,

“The controller should be responsible for any processing of personal data carried out by them or on their behalf. In particular, the controller must be obliged to implement appropriate and effective measures and must be able to demonstrate compliance of the processing activities with this Regulation, including the effectiveness of the measures. Such measures must take into account the nature, scope, context, and purposes of the processing, as well as the risks to the rights and freedoms of natural persons.” (the underlining is ours)

Completing the above and in development of Article 5.2 of the GDPR, Articles 24 and 25 of the same legal text should be cited, the latter indicating regarding “Data protection by design and by default” that the fundamental right to the protection of personal data is much more than mere technology, as its focus is on the risks to the rights and freedoms of data subjects arising from the processing of personal data,

“1. Taking into account the state of the art, the cost of implementation, and the nature, scope, context, and purposes of the processing, as well as the risks of varying likelihood and severity posed by the processing to the rights and freedoms of natural persons, the controller shall implement, both at the time of determining the means of processing and at the time of the processing itself, appropriate technical and organizational measures, such as pseudonymization, designed to effectively apply the principles of data protection, such as data minimization, and to integrate the necessary safeguards into the processing, in order to comply with the requirements of this Regulation and protect the rights of data subjects.

2. The controller shall implement appropriate technical and organizational measures to ensure that, by default, only personal data which are necessary for each specific purpose of the processing are processed...”

XFERA MÓVILES seems to argue that the responsibility lies with the processor with whom it entered into a contract and under which it was obliged to implement appropriate organizational security measures relative to the risk. As has been motivated by this Agency in preceding paragraphs, it is XFERA that has determined the purposes and means of the processing, which is responsible for the processing, which is responsible for the accuracy of the data retained by the processing activities carried out by its processor on its behalf, and which is subject to the obligations of the GDPR, particularly regarding proactive responsibility.

This is the responsibility of XFERA insofar as it is the controller of the processing and is the one who has the obligation to integrate and deploy data protection within all that constitutes its organization, in all its areas of action, whether they affect its

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employees or their data processors. It must be kept in mind that ultimately the determining purpose is to guarantee the protection of the data subject, as the focus is on the risks to the rights and freedoms of the data subjects arising from the processing of personal data carried out by the data controller.

Consequently, the data controller must conduct a risk analysis regarding the rights and freedoms of individuals in data processing, implementing appropriate technical and organizational measures to apply the principles of data protection and integrate the necessary safeguards in the processing, in order to comply with the requirements of the GDPR, being able to demonstrate that the processing is in accordance with the provisions of the aforementioned regulation. And in light of the principle of proactive responsibility (art. 5.2 GDPR), the data controller must be able to demonstrate that it has taken into account all the elements provided for in the GDPR.

Furthermore, among the actions it undertakes to ensure that its data processor respects the principles of the GDPR, mere preventive measures, such as signing the processing agreement, establishing obligations therein, and even issuing instructions, are not sufficient; rather, it can and must be complemented with reactive or post-control measures, such as conducting checks or audits aimed at verifying the possible existence of errors or inaccuracies. In this case, referring to the identification data of prepaid line holders, for which, as mentioned, XFERA is the data controller.

All of this merely reflects a lack of diligence on the part of the responsible entity in ensuring the accuracy of the data being processed. In this regard, it should not be forgotten that the affected database contains personal data of thousands of customers, which constitutes large-scale processing. And the law establishes that the data must remain available to the security forces for the conduct of criminal investigations, meaning that possible inaccuracies or errors in the data can lead to the failure or delay of such investigations.

As has been demonstrated and argued throughout this sanctioning procedure, it is considered that XFERA had not implemented adequate measures and controls to ensure the correctness of the personal data of customers, which determined in this case that the AEPD's investigation could not proceed due to the identity provided not corresponding to the true holders of the prepaid lines. Moreover, it is a failure to comply with the obligations imposed by the GDPR. Therefore, it is emphasized that the data controller must establish clear modalities for such assistance in its relationship with the data processor and provide precise instructions to the data processor on how to comply with them adequately and document it beforehand through a contract or another (binding) agreement, as well as subsequently during the validity of the same and verify at all times during the execution of the contract its compliance in the manner established therein.

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In this regard, nothing has been proven or even provided concerning ex post measures (that is, subsequent to the incorporation of the data by the data processor) aimed at verifying the accuracy or truthfulness of the data. The only assertion in this regard, contained in the allegations to the proposed resolution, is the following:

"From the above, it can be concluded that XFERA did exercise control and supervision over the actions of FULLCARGA and the points authorized by it, having controls aimed at ensuring the accuracy of the collected data, without it being necessary to demand infallibility of these."

However, it does not clarify, let alone justify, what those controls would be.

Regarding this aspect, it is appropriate to bring to attention the content of the Supreme Court ruling STS 1562/2020, dated June 15, 2020, rec. 601/2019, which states the following:

"In this sense, the Supreme Court ruling of June 5, 2004, which confirms, in cassation for the Unification of Doctrine, the ruling of this National Court of October 16, 2003, echoes the arguments made by this Chamber and refers to the differentiation of two responsible parties based on whether the decision-making power is directed at the file or at the data processing itself. Thus, the data file controller is the one who decides the creation of the file and its application, as well as its purpose, content, and use, that is, who has decision-making capacity over all the data recorded in that file. The data processor, however, is the entity to which decisions regarding the specific activities of a certain data processing are attributed, that is, regarding a specific application. This would encompass all those cases in which the decision-making power must be differentiated from the material execution of the activity that constitutes the processing. With this, as also argued by the STS of April 26, 2005 (cassation for unification of doctrine 217/2004), the Spanish legislator aims to adapt to the requirements of Directive 95/46/EC, which seeks to provide a legal response to the increasingly frequent phenomenon of the so-called outsourcing of IT services, where multiple operators act, many of them insolvent, created with the aim of seeking impunity or irresponsibility for those who follow in the subsequent links of the chain. Currently, the new Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, regarding the protection of natural persons with regard to the processing of personal data (which repeals Directive 95/46/EC and applies directly from May 25, 2018) also distinguishes between the roles of the controller and the processor. The former is defined in paragraph 7) of Article 4 as "a natural or legal person (...) who determines the purposes and means of the processing." And the data processor in paragraph 8) of the same Article 4 as one who "processes personal data on behalf of the data controller."

This is in relation to Articles 24 and 28 of the same European Data Protection Regulation. The

controller and processor of data are, without a doubt, also responsible for violations in the field of data protection, in this new regulatory framework, in accordance with the provisions of Article 82.2 of the aforementioned Regulation (EU) 2016/679.

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whose tenor: Any responsible party participating in the data processing operation shall be liable for damages caused in the event that such operation does not comply with the provisions of this Regulation. A processor shall only be liable for damages caused by the processing when it has not complied with the obligations of this Regulation specifically directed at processors or has acted outside or against the legal instructions of the controller. It follows from all of the above that the involvement, in this case, of a processor ZZZZ does not exempt the entity XXXX, now the appellant, from liability, and this is despite the strength of the clauses contained in the contract and annexed thereto signed by both companies (proven facts 9 and 10) in that the personal data processed was for the purpose of carrying out an advertising campaign regarding car and motorcycle insurance marketed by (XXXX), ultimately benefiting said XXXX, being the acting entity that ultimately determines the purposes and means of the repeated data processing, therefore it cannot be exempted from liability.”

The STS continues, regarding the possible exemption of liability alleged concerning what was subscribed in the "processor" contract, as follows:

“The sanctioned conduct of obstruction or hindrance by XXXX of its client's exercise of the right to object to the processing of their data is manifested in that said company did not adopt any measures or precautions to prevent the sending of advertising to the email addresses of its client by those companies to which it entrusted the execution of the advertising campaigns.

The adoption of the necessary measures or precautions to ensure the effectiveness of the right to object to the processing of their data by XXXX, as the data controller, persists even if the advertising campaigns are not carried out based on data from its own files, but rather with databases from other companies contracted by XXXX, and in this case, it was established that the appellant did not communicate to the companies with which it contracted the provision of advertising services the complainant's objection to receiving advertising from the Mutual, nor did it ultimately adopt any provisions to ensure the exclusion of its client from the advertising mailings contracted with third parties.”

Regarding the application of the principle of culpability in the field of sanctioning law regulated by the GDPR, the investigated entity brings up the doctrine established by the CJEU ruling of December 5, 2023 (case C-807/21, Deutsche Wohnen SE and Staatsanwaltschaft Berlin).

Well then, it is worth asking what the parameters of due diligence that the investigated entity should have observed in relation to the examined conduct are. The answer is that the diligence it should have observed is that which was necessary to fulfill the obligations imposed on it by Articles 5.2, 24, and 25 of the GDPR, in light of the doctrine of the National Court and the jurisprudence of the Supreme Court.

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The ruling of the National Court (SAN) dated October 17, 2007 (rec. 63/2006) is fully applicable to this case, which, after referring to the fact that entities whose activities involve continuous processing of customer and third-party data must observe an adequate level of diligence, states:

“[...] the Supreme Court has understood that there is negligence whenever a legal duty of care is neglected, that is, when the offender does not behave with the required diligence. In assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it is necessary to insist on rigor and exquisite care to comply

with the legal provisions in this regard.”

Furthermore, the National Court in matters of personal data protection has declared that “simple negligence or failure to comply with the duties imposed by the Law on those responsible for files or data processing to exercise extreme diligence is sufficient...” (Judgment of the National Court dated June 29, 2001).

Consequently, the allegations must be dismissed since the investigated entity has violated the obligations imposed by the GDPR as the data controller for the processing carried out on its behalf and for its account, in relation to the responsibilities required of every data controller by Article 24 of the GDPR. The allegations do not undermine the essential content of the infringement declared nor do they constitute a sufficient justification or exculpation.

In this regard, and specifically concerning the principle of accuracy, it is also worth recalling that the National Court, in its judgment of March 1, 2024, rec. 1757/2021, states that the data controller is required to verify the accuracy of the data of the data subject through the implementation of appropriate measures when a contract is made. Precisely for this reason, it is necessary to ensure that the person contracting is who they claim to be, and appropriate preventive measures must be adopted to verify the identity of a person whose personal data will be subject to processing, which is why the requirement for identifying documentation is emphasized, as reiterated by the Chamber in judgments such as those of October 3, 2013 (Rec. 54/2012), November 21, 2014 (Rec. 45/2014), among others. This obligation extends to cases of representation, where it is necessary not only to verify the data of the data subject but also that of the representative acting on behalf of the representative and their effective representation.

Therefore, the allegation regarding the lack of culpability of the claimed party in the commission of the alleged infringement is dismissed. Ultimate responsibility for the processing remains attributed to the controller, who determines the existence of the processing and its purpose. Thus, let us remember that, in general, operators are responsible for the processing of their customers' data. In this sense, XFERA has entered into a contract with FULLCARGA, one of whose points is

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sale has made the sale of the telephone cards corresponding to the lines subject to this claim, and in which process all applicable legal obligations should have been guaranteed; among them, compliance with the principle of data accuracy provided for in Article 5.1 d) of the GDPR.

This lack of adequate mechanisms leads us to reject the allegation regarding the lack of direct impact on an identified data subject, as the revealed conduct demonstrates certain negligence in establishing controls aimed at ensuring the accuracy of the data collected by the responding party. The principle of accuracy was violated; the ID number that XFERA indicates as corresponding to D.D.D. belongs to another person. Therefore, that ID number, which belongs to an identified person, was associated with a name and surname that do not correspond to it and probably the ownership of a line that is not theirs. The same situation has occurred with B.B.B., to whom an ID number has been attributed that not only does not belong to them, but which, as clarified by the report from the Tax Agency, does not even exist.

The report from the Ministry of the Interior

The responding party mentions a report issued by the Ministry of the Interior during the processing by the SETID for alleged non-compliance, also by XFERA MÓVILES, of its data retention obligations under Law 25/2007, of October 18. The report contains statements such as:

- “...the register book is located in the premises of that point of sale, being the responsibility of the point of sale to complete it”;
- “It is the responsibility of the point of sale to visually verify the identification document provided by the contracting person” and
- “(there is no obligation to keep a photocopy of the ID), the operator can never verify the truthfulness of the data provided by the points of sale, so the ultimate responsibility for the violations must always

fall on those points.”

In this regard, we cannot forget that these statements are framed within the accusation against XFERA for the alleged violation of its data retention obligations under Law 25/2007. And in that context, what is stated makes complete sense, such as that the data collection occurs in person at the point of sale, that the responsibility for that collection lies with the owner of that establishment, and that the operator cannot verify the truthfulness of what is provided.

However, in the present sanctioning file, we find ourselves within the verification of the obligations that the data controller (in this case XFERA, as argued in the previous section) has as a guarantor of the accuracy of the data retained, which, we insist, is kept so that in case it is necessary, it can be made available to the security forces and bodies within criminal investigations for serious crimes.

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And for these purposes, while it is true that the data collection is carried out by the data processor (a decision, as also explained earlier, voluntarily adopted by the controller, who could also choose to carry out that collection with its own means), it is no less true that the controller is obligated to ensure compliance with the principle of accuracy. And it has at its disposal both preventive and reactive means to ensure that this guarantee is fulfilled. What has not been evidenced in this case.

3.

Inaccuracy of the data

Possibility of verification

Regarding the verification of the accuracy of the data, XFERA claims that it would be impossible for it to verify the truthfulness of the provided data. In this sense, it states:

- The data collection is materially carried out by the data controller
- This has the obligation, by contract, to verify the identity that appears on the identification document and transfer it to the database
- According to the principle of minimization of Article 5.1.c GDPR, a copy or image of the identification document cannot be retained.
- The operator has no way to verify if the data is accurate.

Based on these premises, XFERA claims that it would have no means at its disposal to carry out a verification of the truthfulness of the data. Conversely, the conclusion is that it must settle for accepting the data loaded into the database as valid and could not carry out any verification.

Even accepting these premises, it must be taken into account the results yielded by the Agency's Inspection inquiry into the data from the Tax Agency. Regarding one of the telephone lines, the result was that the ID number provided did not correspond to the name and surname provided. But regarding the other line, a non-existent ID number was provided, that is, it did not correspond to any person.

In this regard, it is observed that XFERA had not established any security mechanism whereby non-existent ID numbers could not be accepted. But not only that, but as explained in relation to the responsibility of the processor or controller, there is no evidence of any control, audit, sampling, or similar mechanism that would allow for the possible existence of errors or inaccuracies in the data. That is to say, as XFERA acknowledges, its role in this matter, as the data controller, was to accept as valid each and every one of the data entered by its

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data controllers, without conducting any verification. This is done with the knowledge, as is also acknowledged, that there may be fraud, identity theft, and even document falsification aimed at registering inaccurate holders, which, we insist, can lead to the failure of criminal investigations.

As previously indicated, the only assertion contained in the allegations of the responding party, regarding a possible ex post control of the retained data, would be the following:

“From the above, it can be concluded that XFERA did exercise control and supervision regarding the actions of FULLCARGA and the points authorized by it, having controls aimed at ensuring the accuracy of the collected data, without it being necessary to demand infallibility of these.”

However, it does not specify in what measures this control would be concretized, nor is it documented or justified.

In the present procedure, sanctions are not imposed merely for the production of a result, as XFERA claims (this would be a case of objective liability prohibited by our legal system and sanctioning law), but because that result of inaccurate data is preceded by the absence of technical and organizational measures that constitute serious negligence in fulfilling its obligations as the data controller.

Article 4 of the LOPDGDD

The responding party invokes in its favor Article 4 of the LOPDGDD, which establishes that:

“2. For the purposes provided in Article 5.1.d) of Regulation (EU) 2016/679, the data controller shall not be held liable, provided that it has taken all reasonable measures to ensure that the inaccuracy of personal data is rectified or deleted without delay, concerning the purposes for which they are processed, when the inaccurate data:

a) Were obtained by the controller directly from the affected party.”

The interested party claims exclusion of liability in the event that the prepaid line contractor provides false data. Firstly, nothing has been clarified regarding the true origin of the inaccuracy of the data, as the responding party merely repeats that they have no way of verifying the data that was entered by their data processor.

However, secondly, it cannot be overlooked that the first of the reproduced paragraphs contains the clause “provided that it has taken all reasonable measures to ensure that the inaccuracy of the personal data is rectified or deleted without delay.” And this is the key to this non-compliance, that XFERA had not adopted measures aimed at verifying the accuracy of the data. To the extent that, as has been evidenced, one of the provided ID numbers does not even exist.

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Instead, XFERA merely claims that it must accept the data provided by its processor as valid, with no possibility of verifying them. And let us not forget, this obligation of preservation aims to ensure that any subsequent potential criminal investigations may succeed.

3.

Proportionality of the sanction

The claims of the responding party disagree with the circumstances of the severity of the amount considered in the proposed resolution. This is in two aspects: first, rejecting circumstances that would aggravate the amount, and second, proposing others that, in their opinion, would mitigate it.

Circumstances considered in the proposal and contested by XFERA.

Firstly, in XFERA's opinion, there is no intent or negligence in the infringement, due to its impossibility of verifying the accuracy of the data transferred by the points of sale.

In this regard, it must be stated that the opposite of what XFERA indicates is true. From the instruction of the procedure, it has been demonstrated that there are no real controls in the activity of the data processor. The responding party has not provided any control measures beyond the formal establishment of a service contract, combined with a mandate, in which the processor is imposed the obligation to identify users of prepaid cards, without the information provided by this being subject to any type of verification or subsequent control. This has resulted in the fact that, as stated in the proven facts, according to the information provided by the Tax Agency, one of the ID numbers provided by XFERA does not correspond to any person, meaning it was a nonexistent ID number. Likewise, the ID number indicated as corresponding to one person actually corresponds to another.

In its allegations regarding the proposed resolution, the responding party adds that, although the

seriousness of the infringement is specified in the difficulties that may arise when identifying the execution of commercial calls alleged by the claiming party, this aggravates the supposed negligence of XFERA. In this regard, it argues that XFERA's obligations as a telecommunications operator do not encompass the content or purposes that the callers may have for these calls, which is why it cannot be attributed or linked to this party, at any level, the execution of these.

It is evident that XFERA cannot be held responsible for the content of the calls. However, what the proposed resolution emphasizes, which is being contested, is that the lack of preservation of accurate and correct data resulted in this Agency being unable to sanction a possible infringement consisting of the execution of commercial calls without a legitimate basis. Thus, it is true that XFERA is not responsible for the content of any call, but it is responsible for not preserving adequate and accurate data, which, had it occurred, would have allowed this Agency to determine the responsible party for a possible infringement.

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administrative of its competence. This is not to mention that the same would have occurred if the identity data of the holder had been required by a judge for the determination of possible criminal liability.

Furthermore, the claimed party disagrees that the existence of gross negligence has been considered. Taking into account, in the opinion of XFERA, that it could not verify the truthfulness of the provided data, a case of "strict liability" or liability for the result would be occurring.

In this regard, upon analyzing the concurrence of the appreciation of a circumstance such as gross negligence as provided in the proposed resolution, it is noted that the reason for such concurrence is similar to the main argument used throughout this resolution for the attribution of the infringement, namely, the absence of controls over the activity of the data processor, and over the data resulting from the contracts made by it. Thus, the consideration of this circumstance in the grading of the sanction is not sufficiently justified, as it is part of the substantial motivation for the attribution.

Therefore, it is considered that it is not appropriate to apply the circumstance of gross negligence to this infringement, and the amount of the sanction is reduced as detailed in the Eighth Ground of this resolution.

The claiming party also objects to the inclusion of the aggravating factor of connection with the regular processing of personal data. It indicates that this aggravating factor could not be applied generically, but rather in relation to the type of processing referred to in this file.

And so it is done. According to the sole additional provision of Law 25/2007, of October 18, operators who market prepaid telephone cards are obliged to retain the data established in that provision regarding each and every customer who contracts them. Thus, this type of processing is part of the regular and daily activity. Each time a contract is made, the obligation arises, as we say for all customers. It is difficult to argue that XFERA is a subject with which there is a "connection with the regular processing of personal data," a circumstance provided for in Article 76 of the LOPDGDD.

Circumstances not contemplated and which, in the opinion of XFERA, would mitigate its liability. First, it asserts that the lack of effective damage to an interested party has not been taken into consideration.

In this regard, it should be clarified that in this procedure, the existence of damage to an interested party has not been established as an aggravating criterion. However, the absence of such damage cannot be considered as a mitigating factor either. Furthermore, it must be taken into account that, in the investigation carried out in this procedure, the absence of exact data on the part of the claimed party prevented an adequate investigation of the initially reported infringement.

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They claim that they adhere to the Code of Conduct for Self-Regulation for “Data Processing in Advertising Activities,” approved by the AEPD. This circumstance cannot be considered a mitigating factor, as mere formal adherence to the code of conduct has no relevance in the case being judged. Let us remember that the sanction is imposed for the processing of inaccurate data and not for carrying out advertising activities, even though the initial complaint referred to the latter.

There would be no benefit derived from the allegedly infringing conduct. The sanctions must be effective, proportionate, and deterrent in each individual case, in accordance with the provisions of Article 83.1 of the GDPR. Accepting the absence of benefits as a mitigating factor is not only contrary to the factual premises contemplated in Article 76.2.c) of the LOPDGDD but also contrary to what is established in Article 83.2.k) of the GDPR and the principles outlined.

Thus, valuing the absence of benefits as a mitigating factor would nullify the deterrent effect of the fine, as it diminishes the impact of the circumstances that effectively influence its quantification, providing the responsible party with a benefit they do not deserve. It would be an artificial reduction of the sanction that could lead to the understanding that violating the regulation without obtaining benefits, financial or otherwise, would not produce a negative effect proportional to the seriousness of the infringing act.

The Judgment of the National Court, dated 05/05/2021, rec. 1437/2020, states: “On the other hand, it considers that the absence of a prior infringement should be regarded as a mitigating factor. Well, Article 83.2 of the GDPR establishes that, among other things, the circumstance 'e) any prior infringement committed by the responsible party or the data processor' must be taken into account for the imposition of the administrative fine. This is an aggravating circumstance; the fact that the prerequisite for its application does not exist means that it cannot be taken into consideration, but it does not imply or allow, as the claimant intends, its application as a mitigating factor.” Applied to the case being judged, the lack of the prerequisite for its application regarding Article 76.2.c) of the LOPDGDD, that is, obtaining benefits as a consequence of the infringement, does not allow its application as a mitigating factor.

Furthermore, they allege the “collaborative spirit” demonstrated during the AEPD's investigative action. Compliance with a legal duty cannot be considered a mitigating factor, since, according to Article 52 of the LOPDGDD, the subjects under investigation must provide the required cooperation to the AEPD's inspection.

Therefore, and in light of what is reflected in the previous sections, it is appropriate to dismiss the allegations presented.

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Finally, for the same reason, that is, that if positively assessed they would constitute aggravating factors but are not mitigating factors if they do not occur, it allows for the dismissal of factors such as:

- The blocking of the telephone line when the inaccuracy of the data was verified,
- The non-processing of special categories of personal data.

I. Proposed Evidence Practice

Next, we respond to the evidence proposed by the respondent:

1. Documentary evidence, consisting of the addition to the procedure of the documents submitted with this writing.

It was accepted and added to the file.

2. More documentary evidence, consisting of this esteemed Agency sending a formal request to the Secretary of State for Telecommunications and Digital Infrastructures, in order to request a copy of the sanctioning file SAN00067/23, within the framework of which the resolution submitted with the allegations was issued;

In this regard, upon analyzing the resolution submitted by the respondent, it is observed that it decrees

the filing of the sanctioning procedure initially opened against XFERA for its alleged non-compliance with the obligations to identify holders of prepaid cards in accordance with Law 25/2007.

The filing is based on the report issued by the Ministry of the Interior, which contains statements such as:

“It is the responsibility of the point of sale to visually verify the identification document provided by the person contracting the service before recording that information in the registration book to verify its accuracy.”

“This Group is aware that the communications operator has automatic and manual procedures for combating fraud.”

In this regard, the proposed practice must be rejected for two reasons: first, because its practice would not alter the outcome of this file, as it refers to the responsibility of the operator or distributor for compliance with Law 25/2007 itself, and does not affect aspects related to data protection and the peculiar relationship existing between the responsible party and the processor as motivated in this resolution.

And second, because, regardless of the previous reason, the resolution that contains the criteria that the respondent intends to apply to the present sanctioning procedure is already in the file, submitted by the respondent itself.

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3. Written testimony, consisting of this free agency letter to

FULLCARGA IBÉRICA, S.L

., for the purpose of having its legal representative answer the following questions:

a. Were two prepaid cards of the “Lebara” brand, corresponding to mobile lines ***PHONE.4 and ***PHONE.2, marketed through your IT platform on February 23, 2022, and March 3, 2022, respectively?

b. If so, can you confirm which specific establishment, among those affiliated with your network, marketed the aforementioned prepaid cards?

c. Does Fullcarga provide any type of instructions to the establishments affiliated with its network on how to complete the data of the purchasers of prepaid mobile phone cards, in order to comply with the identification obligations set forth in Law 25/2007, of October 18?

This evidence should be rejected, as its practice would not alter the outcome of this sanctioning procedure in any way. Indeed, the proven facts of this proposal already outline the procedure for contracting and identifying clients in this case, through the distributor FULLCARGA IBÉRICA.

Nevertheless, as motivated in this proposal, the attribution of the infringement, in accordance with the regime provided for in the GDPR, falls to the data controller.

II.

Obligation. Article 5.1 d) GDPR

Article 5 of the GDPR, Principles relating to processing, states that

1. Personal data shall be:

d) accurate and, where necessary, kept up to date; all reasonable steps must be taken to ensure that personal data that are inaccurate are erased or rectified without delay (“accuracy”);

In relation to Article 5.1.d), this provision requires that “reasonable measures are taken to ensure that personal data that are inaccurate are erased or rectified without delay.” In this regard, the National Court stated in its ruling of 27/02/2008, Appeal 210/2007, “... The principle of truthfulness or accuracy is of great relevance, as it is not only necessary that the data be collected for processing according to a series of criteria (principle of proportionality) and that they be used for purposes compatible with those that motivated the collection (principle of purpose), but it also requires that those who collect and process personal data guarantee and protect that the information subject to processing is not inaccurate and is kept up to date. The breach or violation of the principle of truthfulness can have

significant consequences for the affected party...” Furthermore, Article 5.1.d) does not impose the adoption of disproportionate measures to update the data, but rather reasonable ones, taking into account the available means and the purpose for which the data are used. This is also expressed in Recital 39 of the GDPR.

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(...) All reasonable measures must be taken to ensure that inaccurate personal data is rectified or deleted. (...)

The SAN of March 1, 2024 (RCA 0001757/2021) states that "In this regard, the STS of December 13, 2021 (Rec. 6109/2020) establishes that '(...) it is required of the contracting company, as a necessary diligence so that it cannot be reproached for failing to comply with its obligations regarding the protection of personal data - both concerning the requirement of consent from the data subject and regarding the principle of truthfulness and accuracy - the implementation of control and verification measures aimed at ensuring that the person intending to contract is who they claim to be, that is, that they match the holder of the provided ID.'

Thus, the data controller is imposed with the obligation to verify the accuracy of the data of the data subject through the implementation of appropriate measures when a contract is made. Precisely for this reason, it is necessary to ensure that the contracting person is indeed who they claim to be, and appropriate preventive measures must be adopted to verify the identity of a person whose personal data is going to be processed, which is why the requirement for identification documentation is mandated, as reiterated by the Chamber, among others, in Judgments of October 3, 2013 (Rec. 54/2012), November 21, 2014 (Rec. 45/2014), etc."

Therefore, considering the circumstances of the present sanctioning procedure, it can be stated that the claimed party has failed to comply with the obligation provided for in the aforementioned Article 5.1 d).

Thus, as evidenced in the proven facts, according to the information provided by the Tax Agency, the search by the ID provided by XFERA as corresponding to B.B.B. yields no results. Likewise, the ID that XFERA indicates as corresponding to D.D.D. belongs to another person.

III.

Classification and Qualification of the Infraction

In accordance with the available evidence, it is considered that the known facts constitute an infraction, attributable to the claimed party, classified under Article 83.5 of the GDPR, which stipulates the following:

"5. Violations of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 EUR or, in the case of a company, an amount equivalent to 4% of the total annual global turnover of the previous financial year, opting for the higher amount: a) the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9;" For the purposes of the statute of limitations for infractions, the alleged infraction is subject to a three-year limitation period, in accordance with Article 72.a) of the LOPDGDD, which qualifies the following conduct as very serious:

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"a) The processing of personal data in violation of the principles and guarantees established in Article 5 of Regulation (EU) 2016/679."

I.

Sanction

This infraction may be sanctioned with a fine of up to 20 million euros or, in the case of a company, an amount equivalent to 4% of the total annual global turnover of the previous financial year, opting for the higher amount, in accordance with Article 83.5 of the GDPR.

Furthermore, it is considered appropriate to adjust the sanction to be imposed according to the following criteria established by Article 83.2 of the GDPR:

- a) the nature, gravity, and duration of the infraction, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of affected data subjects and the level of damages they have suffered;
- b) the intent or negligence in the infraction;
- c) any measures taken by the data controller or processor to mitigate the damages suffered by the data subjects;
- d) the degree of responsibility of the data controller or processor, taking into account the technical or organizational measures they have applied under Articles 25 and 32;
- e) any previous infraction committed by the data controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infraction and mitigate the possible adverse effects of the infraction;
- g) the categories of personal data affected by the infraction;
- h) the manner in which the supervisory authority became aware of the infraction, particularly whether the data controller or processor notified the infraction and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the data controller or processor in relation to the same matter, compliance with those measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42; and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infraction.

In this case, the following circumstances are considered to be present:

- The nature, gravity, and duration of the infraction, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of affected data subjects and the level of damages they have suffered [Article 83.2.a) GDPR]. It should be noted that the inaccuracy of the data transmitted to the AEPD has hindered the investigation of a possible administrative infraction.

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The connection of the infringer's activity with the processing of personal data (Article 76.2, letter b), of the LOPDGDGDD): XFERA, as a consequence of its business activity, regularly and continuously processes personal data of a large number of data subjects. The provision of electronic communications services to the public is the main activity of XFERA, which necessarily involves operations for the processing of personal data of the natural persons who are clients (or potential clients) of said entity, not only regarding the documentation sent by them through the channels established by the data controller but for all types of activities. Thus, the infringement occurs within the framework of a processing of personal data that the data controller habitually carries out in its business and that is closely linked to it.

As indicated in the Fourth Ground, point 5, of this resolution, the occurrence of the circumstance of serious negligence that was taken into account in the proposed resolution is ruled out. Therefore, and considering the circumstances detailed above, it is deemed appropriate to reduce the amount of the sanction to SEVENTY THOUSAND EUROS (€70,000).

I.

Adoption of measures

It is agreed to impose on the data controller the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article

58.2 d) of the GDPR, according to which each supervisory authority may “order the data controller or processor to ensure that the processing operations comply with the provisions of this Regulation, when appropriate, in a specific manner and within a specified time frame...”. The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided in Article 83.2 of the GDPR.

Specifically, it is ordered that, within a period of 6 months, XFERA introduce the necessary procedures and mechanisms to verify the identity of customers who purchase a prepaid card.

It is warned that failure to comply with the possible order to adopt measures imposed by this agency in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning proceedings.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established, the Presidency of the Spanish Agency for Data Protection

RESOLVES

:

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FIRST:

IMPOSE on XFERA MÓVILES, S.A.U., with NIF A82528548, a fine of 70,000.00 euros (SEVENTY THOUSAND euros) for an infringement of Article 5.1.d) of the GDPR, classified under Article 83.5 of the GDPR.

SECOND:

ORDER XFERA MÓVILES, S.A.U., with NIF A82528548, to demonstrate compliance with the measures established in the ninth legal basis of this resolution, within 6 months from the date this resolution becomes final and enforceable, in accordance with Article 58.2.d) of the GDPR.

THIRD:

NOTIFY this resolution to XFERA MÓVILES, S.A.U.

FOURTH:

This resolution will be enforceable once the period for filing the optional appeal for reconsideration (one month from the day following the notification of this resolution) has expired without the interested party having exercised this right. The sanctioned party is warned that they must pay the imposed sanction once this resolution is enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No.

IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed during the enforcement period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested

parties may optionally file a reconsideration appeal before the Presidency of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law. Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by writing to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of Law 39/2015, of October 1. They must also provide the Agency with documentation proving the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, the provisional suspension will be considered terminated.

938-100325

Lorenzo Cotino Hueso

President of the Spanish Agency for Data Protection

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